

CSIS JAPAN CHAIR

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● Japan Daily Brief

Friday, September 4, 2026

RE: BOJ rate hike firming for Sep 17-18 · Yen hits 1-month high · Budget requests record ¥143T · Putin touts Northern Territories tax breaks · Cabinet reshuffle signals

NIKKEI 225
65,020.94
▼ -1.95%
as of Sep 4

USD/JPY
156.32
▼ -2.37%
as of Sep 4

EUR/JPY
181.67
▼ -2.10%

BRENT
\$94.90
▲ +4.87%

10Y JGB
1.50%
yield

JAPAN 5Y CDS
20 bps
— flat

BOJ POLICY RATE
1.00%

GDP (ANNUALIZED)
1.1%
Cabinet Office · latest Q (annualized)

TODAY AT A GLANCE

- 1 The Bank of Japan is said to favor a quarter-point rate hike at its September 17-18 meeting, driving the yen to a one-month high above 155 per dollar and sparking carry-trade reversal speculation.
- 2 Japanese ministries submitted a record ¥143 trillion in FY2027 budget requests, with the government simultaneously signaling it will forgo a second FY2026 supplementary budget amid mounting fiscal concerns.
- 3 Defense Minister Koizumi ruled out recruiting foreign nationals for the Self-Defense Forces, stating the ministry's top priority must be personnel currently serving, closing a debate that had surfaced amid SDF recruitment shortfalls.

TOP STORIES

ECONOMY-BOJ

BOJ said to favor 25bp hike at September 17-18 meeting; yen hits one-month high

Bloomberg reports BOJ policymakers favor a quarter-point rate increase at the September 17-18 meeting while remaining flexible on the subsequent path, sending the yen to a one-month high above 155 per dollar. Jiji Press separately reports the BOJ will consider the hike in earnest at that meeting, with the dollar briefly falling below 156 yen in London trading on September 4.

So what: A confirmed hike at September 17-18 would move the BOJ policy rate from 1.00% and test whether yen appreciation accelerates carry-trade unwinding that already pushed the Nikkei down 1.95% today.

BLOOMBERG

POLITICS-DIET

Japanese ministries request record ¥143.1 trillion for FY2027; second supplementary budget for FY2026 seen dropped

Ministries submitted ¥143.1 trillion in aggregate budget requests to the Finance Ministry for FY2027, a record level, as fiscal pressure mounts under PM Takaichi's agenda. The government is simultaneously seen forgoing a second supplementary budget for the current fiscal year, per Jiji Press.

So what: *The record request figure sets the floor for December Cabinet budget deliberations and will intensify opposition scrutiny of the Takaichi government's fiscal trajectory ahead of the next Diet session.*

per The Japan Times: "Japanese ministries seek larger budget as fiscal concerns mount"

THE JAPAN TIMES

DEFENSE

Defense Minister Koizumi rules out recruiting foreign nationals for SDF

Defense Minister Shinjiro Koizumi stated that his ministry's top priority "must be the people who are currently serving," flatly rejecting proposals to allow foreign national recruitment into the Self-Defense Forces. The statement closes a debate that had emerged amid SDF personnel shortfalls.

So what: *The ruling forecloses a near-term structural fix to SDF manpower gaps, keeping pressure on MOD to find alternative solutions — including expanded AI and unmanned systems — which PM Takaichi separately pledged to accelerate at the Senior Commanders' Conference.*

per The Japan Times: "Japan defense chief dismisses idea of recruiting foreign nationals for SDF"

THE JAPAN TIMES

ECONOMY-BOJ

Yen hits one-month high of 155 per dollar on BOJ rate hike speculation; carry-trade reversal feared

The yen strengthened to 155 per dollar — a one-month high — driven by market speculation over a BOJ rate hike at the September 17-18 meeting, with the Guardian reporting a more-than-2% intraday surge. Nikkei Asia and the Japan Times both note the move is not attributed to official intervention, with MOF/BOJ watching for disorderly conditions ahead of a Japanese national holiday.

So what: *Yen appreciation at this pace compresses export-sector margins and raises the risk of a carry-trade reversal affecting cross-border capital flows tied to the US-Japan investment framework.*

per Nikkei Asia: "Yen hits 1-month high of 155 to dollar on BOJ rate hike speculation"

NIKKEI ASIA

⚡ OVERNIGHT FLASH

DIPLOMACY · JIJI PRESS

Putin lauds tax breaks for Russia-administered islands claimed by Japan

Russian President Putin publicly praised tax incentive programs in the Russian-administered islands that Japan claims as its Northern Territories, per Jiji Press. The statement extends Moscow's posture of deepening administrative integration of the disputed islands amid the ongoing diplomatic standoff with Tokyo.

TECHNOLOGY · NIKKEI ASIA

ASML to expand Japan workforce to support Rapidus and TSMC chip fabs

ASML will expand its Japan-based workforce to support next-generation chipmakers Rapidus and TSMC's Kumamoto operations, per Nikkei Asia. The move reflects growing demand for EUV lithography expertise as both fabs advance toward production timelines.

ECONOMY-BOJ · THE JAPAN TIMES

Japan household spending falls 3.6% in July, eighth consecutive monthly decline

Inflation-adjusted Japanese household spending dropped 3.6% year-on-year in July, the eighth straight monthly contraction, per the Internal Affairs Ministry. The sustained decline in consumer outlays runs counter to BOJ assumptions of a virtuous wage-price cycle underpinning its rate normalization path.

STAT OF THE DAY

¥143T

Record FY2027 Japanese ministry budget requests

Japanese ministries collectively sought ¥143.1 trillion for the fiscal year starting April 2027, the highest on record, per the Finance Ministry.

Source: Japanese ministries seek larger budget as fiscal concerns mount — Japan Times

REGIONAL PRESSURE WATCH

Normal — 11 items (Japanese government: 9, adversary signal: 2)

PM Watch: PM appeared today · 1 day(s) since last confirmed appearance — PM Takaichi presided over the Self-Defense Forces Senior Commanders' Conference in Tokyo and pledged to accelerate AI and unmanned defense asset introduction into SDF operations.

CHINA

China's Foreign Ministry, amplified by Global Times, stated that China and 'peace-loving countries' will act to curb Japan's defense expansion, framing it as 'neo-militarism under the guise of national normalization' — the latest iteration of a sustained public pressure campaign running through August and September 2026. China's FM Spokesperson Guo Jiakun held a regular press conference on September 3 addressing Japan-related matters.

NORTH KOREA

No new North Korean missile launch or KCNA statement specifically targeting Japan was reported in today's articles; Freedom Edge 2026 trilateral exercises remain scheduled to begin September 7 near Jeju Island despite DPRK's prior 'threat' labeling.

RUSSIA

Russian President Putin publicly lauded tax break programs in the Russian-administered islands claimed by Japan as the Northern Territories, deepening Moscow's administrative integration posture and extending the diplomatic standoff with Tokyo following Putin's Etorofu visit and the August 21 Bastion missile live-fire.

Senkaku / ECS: No new CCG intrusion into Senkaku territorial waters or East China Sea scramble was reported in today's articles; the baseline of sustained Chinese pressure framing Japan's defense buildup as illegitimate continues.

"China and peace-loving countries to curb growth of Japan's 'neo-militarism' under guise of 'national normalization'"

China Foreign Ministry (via Global Times) · China and peace-loving countries to curb growth of Japan's 'neo-militarism' under guise of 'national normalization': FM — Global Times

Bottom line: China's FM rhetoric labeling Japan's defense buildup 'neo-militarism' continues at sustained tempo, while Putin's endorsement of Northern Territories tax breaks signals deepening Russian administrative integration of the disputed islands; neither rises to acute escalation level today, but the September 7 Freedom Edge 2026 trilateral exercise start remains the near-term provocation watch point.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE	VS PRIOR
Nikkei	62%	32%	—
Asahi	53%	33%	—
ANN	55.4%	29.9%	—
Kyodo	50.2%	33.9%	—
Mainichi · Jul 20, 2026 · 46d ago	41%	44%	—
Yomiuri	56%	32%	—
FNN	62.5%	32%	—
NHK	52.8%	33.2%	—
Jiji · Jul 16, 2026 · 50d ago	48.4%	26.9%	—
JNN	59.2%	37.6%	—

Discourse: Pollster results for PM Takaichi's Cabinet approval diverge significantly — from 41% (Mainichi) to 62% (Nikkei) — with Kyodo's 50.2% reading described as a record low for that pollster, reflecting ongoing public unease over fiscal expansion and the food tax cut plan.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

TRACKERS

JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · FRIDAY, SEPTEMBER 4, 2026

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Sanae Takaichi, Prime Minister*

PM Takaichi presided over SDF Senior Commanders' Conference in Tokyo; vowed to accelerate AI and unmanned defense asset introduction

PM Takaichi attended the Self-Defense Forces Senior Commanders' Conference in Tokyo, per the Kantei and Kyodo News reports. She pledged to speed up the introduction of AI systems and unmanned defense assets into SDF operations.

→ [Kyodo News](#) ↗

DIET SESSIONS / LDP

DIET / LAWMAKERS GROUP

Japanese lawmakers' cross-party group plans visit to China this month

A cross-party group of Japanese lawmakers is planning a visit to China in September, per NHK, in a continued effort to manage bilateral ties following deterioration after PM Takaichi's November Taiwan remarks.

UPCOMING

- SEP
7

Freedom Edge 2026 US-Japan-ROK trilateral exercises begin near Jeju Island
Trilateral drills focused on North Korea nuclear and missile threat scenarios proceed despite DPRK 'threat' labeling; North Korea conducted a missile test in the run-up to the exercise window.
- SEP
17

Bank of Japan Monetary Policy Meeting (Sep 17-18) — rate hike in active consideration
BOJ is said to favor a 25bp hike at this meeting, per Bloomberg; market pricing and yen appreciation reflect elevated probability of a move from the current 1.00% policy rate.
- SEP
10

Japan Crown Prince and Crown Princess attend Norwegian King's funeral in Oslo
The funeral is scheduled at Oslo Cathedral; the Imperial couple's attendance was confirmed by the Japanese government.
- DEC
1

Cabinet draft FY2027 budget — follows record ¥143T ministry requests
Following today's record budget request submission, the Cabinet is expected to finalize the draft budget in December for Diet passage in March 2027; fiscal sustainability questions are intensifying.
- SEP
15

Japan national holiday (Respect for the Aged Day) — yen intervention watch heightened
Markets are on alert for MOF/BOJ currency intervention around the September holiday window and BOJ meeting, with yen traders bracing for thin liquidity risk.

US-JAPAN ALLIANCE & TRADE

US TARIFFS ON JAPAN

AUTOS · 2025 DEAL

15% (incl. MFN, 2025 agreement)

Steel	50%	SECTION 232
Aluminum	50%	SECTION 232

Investment framework: \$550B strategic investment framework (2025 agreement)

Section 301: 12.5% forced-labor tariff in force since Jul 24, 2026 (net of MFN); excess-capacity investigation ongoing

DIET WATCH

MINISTRY OF JUSTICE ADVISORY PANEL

Panel to consider restricting civil trial evidence use and third-party disclosure

A Ministry of Justice advisory panel is mulling amendments to the Code of Civil Procedure to restrict use of civil trial evidence for non-trial purposes and prevent provision of copies to third parties.

WIRE

BUSINESS & ECONOMY

TECH · NIKKEI ASIA · SOFTBANK

SoftBank tests stratospheric aerial base station in Japan-first trial

SoftBank conducted Japan's first test of a stratospheric aerial base station, advancing high-altitude platform connectivity that has dual-use relevance for both commercial telecommunications and resilient communications in disaster or defense scenarios.

INDO-PACIFIC

CHINA-JAPAN · GLOBAL TIMES

China FM: 'peace-loving countries' will curb Japan's 'neo-militarism' defense buildup

China's Foreign Ministry, amplified by Global Times, stated that China and 'peace-loving countries' will act to curb Japan's defense expansion, which Beijing frames as 'neo-militarism under the guise of national normalization' — continuing a sustained public pressure campaign running through August and September 2026.

INDO-PACIFIC · NIKKEI ASIA

Japan's Takaichi seeks face time with Trump as US-China summit nears

PM Takaichi is seeking a bilateral meeting with President Trump as the prospect of a US-China summit approaches, aiming to ensure Tokyo's position is coordinated with Washington before any US-China diplomatic reset that could affect Japan's strategic equities.

ALSO TODAY / THE WIRE

ALLIANCE · JIJI PRESS

No US request for Japan economic policy change, says Finance Minister Katayama

Finance Minister Satsuki Katayama stated that Treasury Secretary Bessent made no request for Japan to change its economic policies, rebutting reports of US pressure on Tokyo's fiscal and monetary stance.

ALLIANCE · JIJI PRESS

Interview: Many Okinawa residents still oppose Futenma relocation within the prefecture

A Jiji Press interview finds that a substantial share of Okinawa residents continues to oppose the intra-prefecture relocation of MCAS Futenma to the Henoko (Camp Schwab) site, sustaining political friction over the long-running USFJ realignment.

ECONOMY-BOJ · NIKKEI ASIA

JX Advanced Metals, Kokusai Electric, Capcom to join Nikkei 225 index

JX Advanced Metals, Kokusai Electric, and Capcom will be added to the Nikkei 225 index, per Nikkei Asia, in a reshuffle that adds semiconductor materials and gaming exposure to Japan's flagship equity benchmark.

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[↑ Back to top](#)